

appear on portfolio statements and investors never receive a receipt. It is important to look for the ongoing expense ratio and loads charged at the time of purchase or sale.

After fees, alpha is typically negative for actively managed funds. Mathematically, the average fund must earn the average market return before fees. Some do better and some worse, but the average is the average. After fees, though, the average fund will fall behind the market. Those who understand this point can dramatically simplify their portfolio by filling it with strategic well-diversified, low-cost funds and generally avoiding trading except for rebalancing, tax reasons, or generating distributions for retirement spending.

In this regard, investing has now mostly been commoditized, at least when investing is done without regard for the overall financial plan. Financial advisors solely focused on selecting investments will struggle to add value for clients. Unfortunately, asset selection is all many advisors do, and the public is often unaware of the existence of advisors who do much more than just manage investments.

Another development from this changing investment world is that for good advisors, investing does not occur in a vacuum. The old investing framework went something like this: “Let’s invest, see how it goes, and then determine what you can spend.” The new methodology for good advisors is to first figure out what you want to accomplish with your wealth and then build a low-cost strategy to achieve this. Your goals provide the context for how to structure and deploy assets. The structure, process, and ongoing plan adjustment to accommodate life’s ever-changing desires and goals becomes the method for adding value to the financial plan.

There is immense value in comprehensive financial planning and good financial decision-making. It is important to remember and easy to forget that the end goal of comprehensive financial planning goes beyond choosing investments.

The term *alpha* has been shown to be insufficient when it comes to financial planning, since it only refers to investing in a vacuum. Two